

ECONOMICS

Paper 1 Multiple Choice

9708/11**May/June 2019****1 hour**

Additional Materials: Multiple Choice Answer Sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

MODIFIED LANGUAGE**READ THESE INSTRUCTIONS FIRST**

Write in soft pencil.

Do not use staples, paper clips, glue or correction fluid.

Write your name, centre number and candidate number on the Answer Sheet in the spaces provided unless this has been done for you.

DO **NOT** WRITE IN ANY BARCODES.There are **thirty** questions on this paper. Answer **all** questions. For each question there are four possible answers **A, B, C** and **D**.Choose the **one** you consider correct and record your choice in **soft pencil** on the separate Answer Sheet.**Read the instructions on the Answer Sheet very carefully.**

Each correct answer will score one mark. A mark will not be deducted for a wrong answer.

Any rough working should be done in this booklet.

Solved by :-

Zarakh Mushtaq

This document consists of **12** printed pages.

- 1 India is failing to reach its full economic potential because of poor rail, road and electricity infrastructure, and a lack of skilled civil engineers. *(capital)* *(labour)*

Which factors of production need to be increased?

- A capital and land
 - B enterprise and capital
 - ☒ C labour and capital
 - D land and enterprise
- 2 The fundamental economic question is how to meet unlimited wants with limited resources.

What is an example of limited resources?

- A ^{no} insufficient consumer goods in the local shops
 - B ^{no} insufficient jobs to allow full employment
 - ☒ C insufficient machinery to produce electrical goods *lack of resources (capital)*
 - D ^{no} insufficient tax revenue to finance building a school
- 3 Which statement is not a positive economic statement? *work for normative statement*

- A An increase in the rate of income tax decreases the wish to save. *because of lower disposable income*
- B An increase in the rate of income tax has a greater impact the greater the level of income.
- ☒ C An increase in the rate of income tax causes more hours of work to be supplied. *(Disposable income) (less willing to work)*
- D An increase in the rate of income tax is the fairest way to finance the national health service.

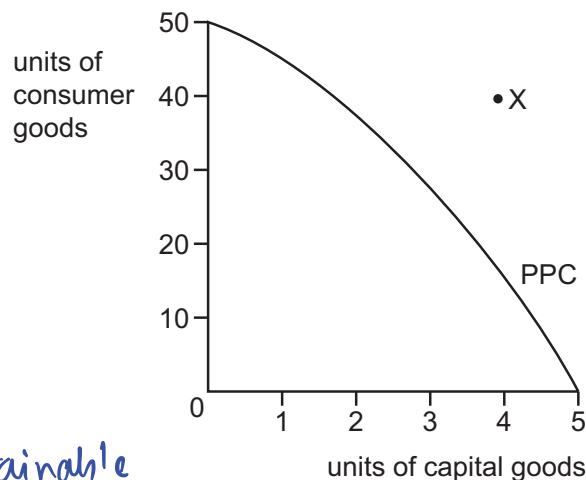
opinion / value judgement

Normative statements contain a value judgment. They contain words such as "have to", "ought to", "must", "should" or nonquantifiable adjectives such as "important," that cannot be objectively measured.

Positive statements are statements that describe or explain a phenomenon or relationship in the world. They are based on factual observations or evidence and can be tested and verified through empirical analysis. Positive statements are objective and do not involve value judgments or personal opinions

3

- 4 The diagram shows a production possibility curve (PPC). It indicates the combinations of consumer goods and capital goods produced by an economy using all its available resources.



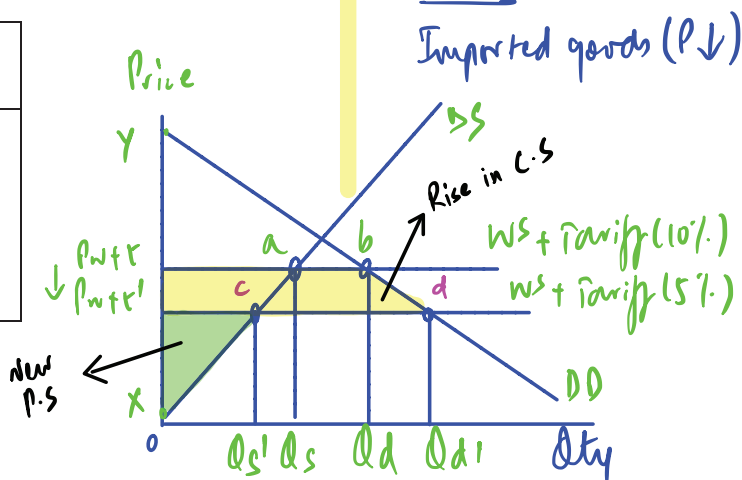
What does position X indicate?

- no unattainable
- A a lower ratio of capital to consumer goods is necessary to achieve economic growth
- B increasing levels of unemployment Actual (inside PPC)
- ✓ C insufficient factors of production are available limited resources
- D too many consumer goods are causing a fall in economic growth (can be represented through movement)

- 5 The tariff on Indian goods entering the US falls from 10% to 5%.

What will be the most likely effect on the producer and consumer surplus in the US?

	US producer surplus	US consumer surplus
✓ A	decrease ✓	increase ✓
B	decrease ✓	no change
C	increase	increase ✓
D	increase	no change

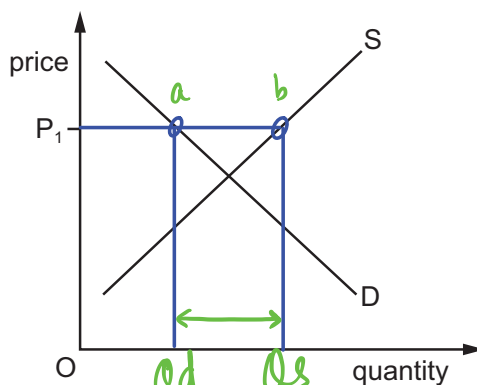


Old C.S. :- $P_w + t + Y + b$
 New C.S. :- $P_w + t' + Y + d$ (C.S. ↑)

Old P.S. :- $P_w + t + a + x$ (P.S. ↓)
 New P.S. :- $P_w + t' + c + x$

4

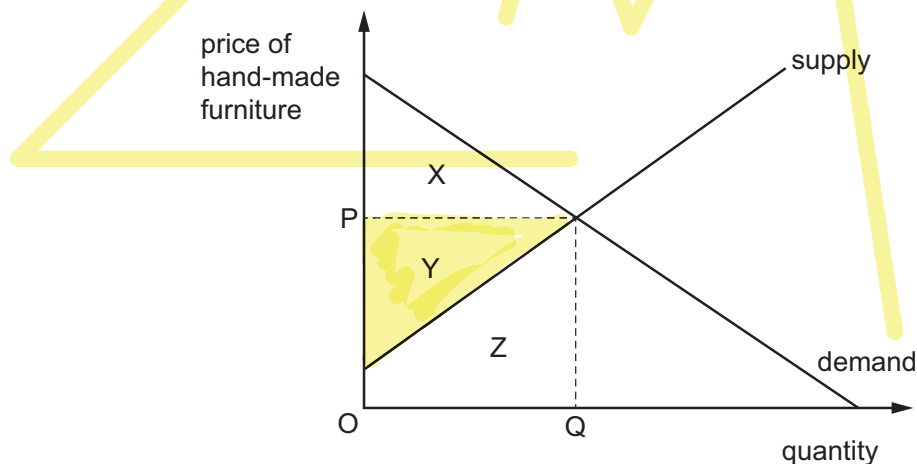
- 6 The diagram shows the demand for, and supply of, carrots.



What is true at price P_1 ?

- A There will be a shortage of carrots. *Below equilibrium*
 ✓ B There will be a surplus of carrots. *yes*
 C There will be an increase in the sale of carrots. *Qd ↓*
 D There will be market clearing of carrots. *Dis-equilibrium*

- 7 The diagram shows the market for hand-made furniture.



Which area of the diagram represents the producer surplus?

- A area X *(C.S)*
 B area X + Y *(C.S + P.S)*
 ✓ C area Y
 D area Y + Z *(T.R or T.E)*

↳ Above supply curve and below equilibrium price

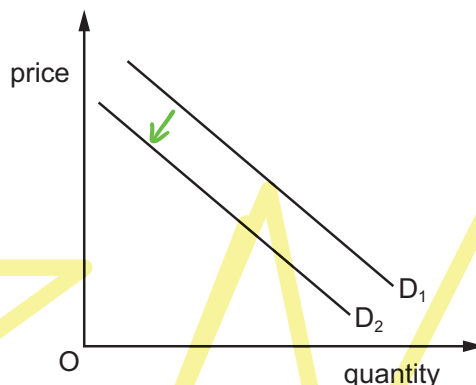
↓ ↓
 Total Total
 revenue expenditure
 $TR = P \times Q$

Horizontal aggregation (summation of all individual supply curve is market supply.)

8 How is the market supply of a product in a competitive market obtained?

- ☒ A by aggregating the supply of all firms producing the product
- ☐ B by averaging the supply of all firms producing the product
- ☐ C by calculating the supply of the typical firm producing the product
- ☐ D by estimating the supply of the largest firm producing the product

9 The diagram shows the demand curve for luxury cars. (Demand ↓)



The shift in the demand curve D_1 to D_2 can be explained by

- ☐ A a decrease in air travel. Demand ↑ (cars)
- ☐ B an increase in advertising by luxury car manufacturers. (Demand ↑)
- ☐ C an increase in income. Demand ↑
- ☒ D an increase in the price of petrol. complements, Demand ↓ (cars)

Price ×
Qty Y

10 What is cross elasticity of demand?

$$\frac{\% \Delta \text{ in } QD_X}{\% \Delta \text{ in price } Y}$$

- ☐ A the responsiveness of price of good X due to a change in demand of good Y No
- ☐ B the responsiveness of quantity demanded of a good due to a change in its price PED
- ☐ C the responsiveness of quantity demanded of good X due to a change in quantity of good Y No
- ☒ D the responsiveness of quantity demanded of good X due to a change in the price of good Y

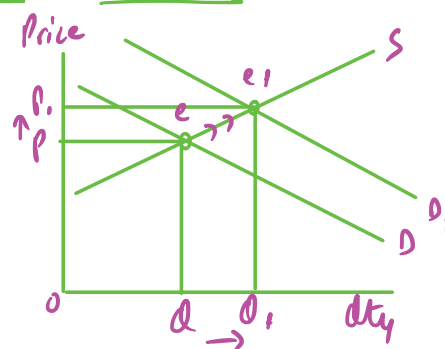
Quantity ×
Quantity Y

6

- 11 Consumers receive an increase in their incomes. $\uparrow \uparrow$

Which circumstances will cause the quantity of the product sold to increase the most?

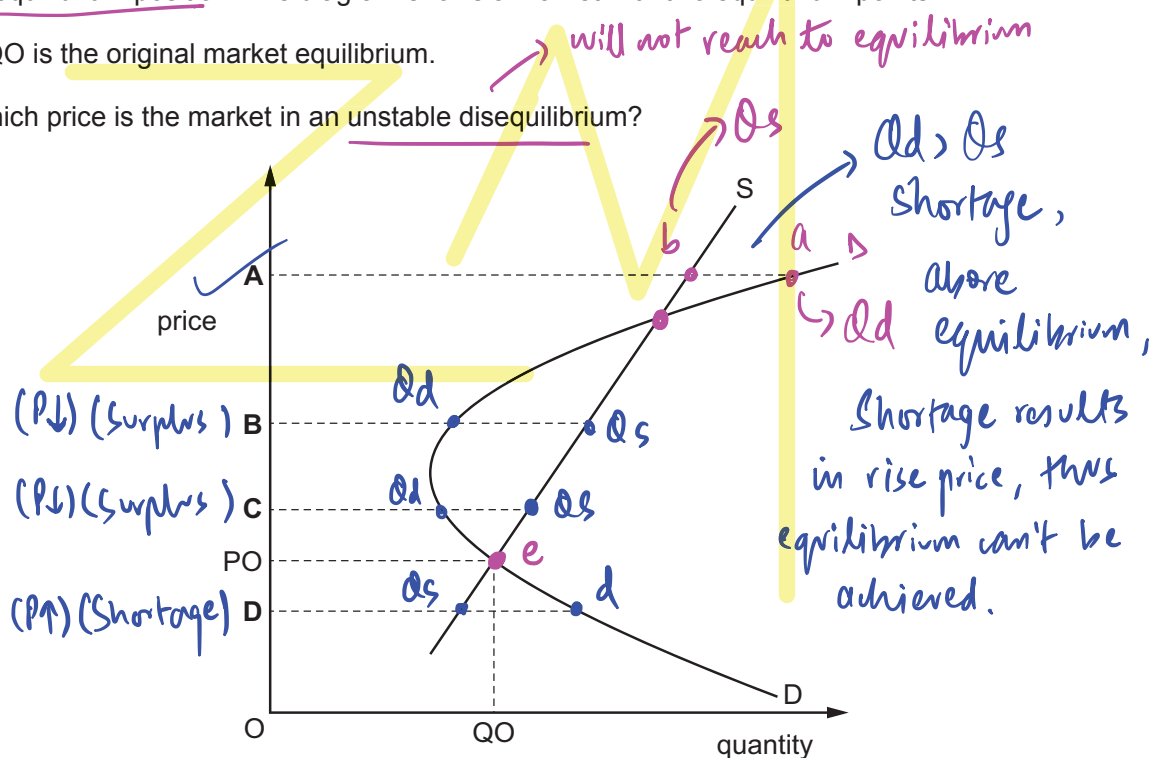
	nature of the product	price elasticity of supply of the product
A	inferior good $\downarrow \downarrow$	price elastic $\checkmark$
B	inferior good $\downarrow \downarrow$	price inelastic
C	normal good $\checkmark$	price elastic $\checkmark$
D	normal good $\checkmark$	price inelastic



- 12 An unstable disequilibrium is when a market does not return to an original equilibrium point from a disequilibrium position. The diagram shows a market with two equilibrium points.

PO/QO is the original market equilibrium.

At which price is the market in an unstable disequilibrium?



- 13 The table shows the quantity of a product supplied at two different prices by four firms, A, B, C and D.

Which firm has a price elasticity of supply equal to 1 when the price falls from \$10 to \$8?

	price of product (\$)	
	10	8
A	500	300
B	500	350
C	500	400
D	500	450

20%. (% Δ in price)

$$\text{optimal :- } \frac{20\%}{20\%} = 1$$

40%.

30%.

20%.

10%.

% Δ in Qs

- 14 To improve its financial position a government decided to reduce expenditure on investment in the public sector. Despite this, there was not a fall in economic growth.

What was the most likely effect of the government's action?

- ☒ A An original budget deficit was reduced. *Qd, Budget deficit ↓*
☐ B An original budget surplus was reduced. *(Financial position was not good)*
☐ C Consumer expenditure decreased. *(Reduction in economic growth)*
☐ D Public sector productivity decreased.

- 15 An economy has a 20% housing shortage. The government builds 10% more houses for poorer families and fixes the rent below the equilibrium for the market.

Which effect will this direct provision have on the market?

- Qd > Qs*
☐ A A greater imbalance in the market in private housing will develop.
☐ B Housing waiting lists for poorer families will be cleared. *NO*
☒ C The supply of government housing will fall short of demand.
☐ D The supply of private housing for rent will fall by 10%.

*shortage is of 20%,
government supplied
10%, so still demand
exceeds supply.*

- 16 Which statement about nationalised and privatised industries is correct?

- NO*
☐ A A privatised industry is usually less competitive than a nationalised industry.
☐ B A profitable private company cannot be nationalised. *It can be*
☐ C Privatisation is a form of monetary policy. *NO, supply side*
☒ D Privatisation is a way of raising money for the government. *yes!*

Privatization may mean the government sells state-owned businesses to private interests, but it may also be discussed in the context of the privatization of services or government functions, where private entities are tasked with the implementation of government programs or the performance of government services.

Nationalization is the process of transforming privately-owned assets into public assets by bringing them under the public ownership of a national government or state. Nationalization usually refers to private assets or to assets owned by lower levels of government being transferred to the state.

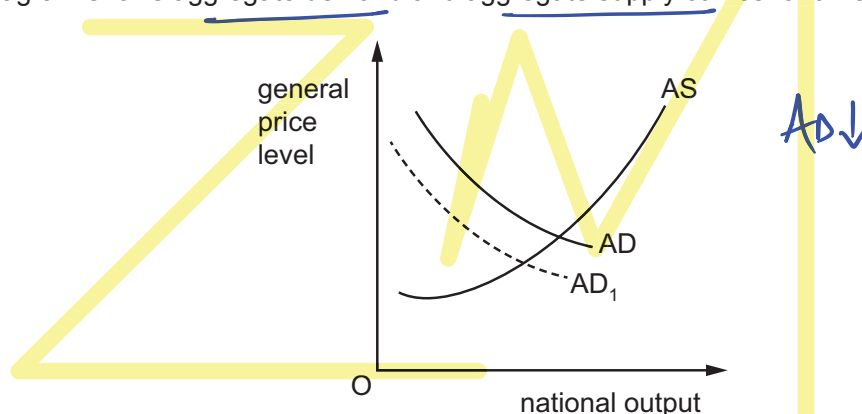
17 What is **not** true about subsidies?

- A They are paid to firms. *yes (By government)*
- ✓ B They have to be paid back. *not to be paid back*
- C They reduce the cost of production. *cost ↓, supply ↑*
- D They shift the supply curve to the right. *yes ↑*

18 What is **unlikely** to occur with an increase in the provision of public goods?

- A consumer non-excludability *(Tax payer and non. taxpayer both will consume)*
- B improved use of resources *(market failure ↓)*
- C opportunity cost *(Funds)*
- ✓ D reduction in tax *Tax will most likely to increase to provide public goods*

19 The diagram shows aggregate demand and aggregate supply curves for an economy.



What would cause a change in the aggregate demand from AD to AD₁?

- A a decrease in the budget surplus *G ↑, AD ↑*
- B consumption of domestic instead of foreign goods *C ↑, AD ↑*
- ✓ C government campaigns to encourage household savings *save ↑, spend ↓, C ↓, AD ↓*
- D investment in knowledge-based enterprises *I ↑ → AD ↑*
SRAS ↑ *LRAS ↑ / AS ↑* *LRAS (unchanged)*

20 What would cause a shift in the short-run aggregate supply curve but **not** the long-run aggregate supply curve?

- A advances in technology *LRAS ↑*
- ✓ B a change in the money wage rate *cost, 'SRAS'*
- C emigration of people of working age *LRAS ↓*
- D gross investment exceeding depreciation *LRAS ↑*

9

$$\downarrow \text{ToT} := \frac{X_{\text{prices}} \uparrow}{M_{\text{prices}} \uparrow} \times 100$$

21 Which effect of inflation is described as redistributive?

- A the improvement in the terms of trade $X_{\text{prices}} / M_{\text{prices}}$
- B the increased reluctance of people to hold money $\text{value} \downarrow$
- C the inconvenience of frequently changing prices menu cost
- ☒ D the loss of purchasing power of people on fixed incomes $\text{pension earners (real income} \downarrow)$

22 In which situation will a country's terms of trade worsen?

- ☒ A The prices of its imports rise by more than the prices of its exports. $M_{\text{prices}} \uparrow > X_{\text{prices}} \uparrow, \text{ToT} \downarrow$
 - B The total value of external payments rises by more than the total value of external receipts.
 - C The value of its imports rises by more than the value of its exports. No effect on ToT
 - D The volume of its imports rises by more than the volume of its exports. No effect on ToT
- ToT isn't about receipts / payments*

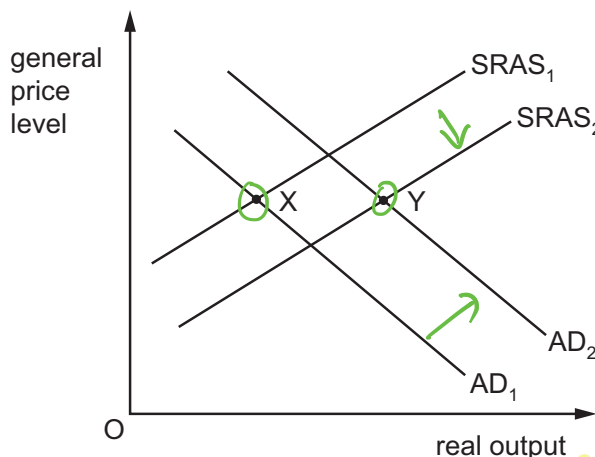
23 Industrialised countries X and Y trade with each other. Country X imposes a general tariff of 20% on imports from country Y.

In which circumstances would the imposition of the tariff be unfavourable to country X?

- A if country X is seeking to protect its infant industries favour
- ☒ B if country X lacks the capacity to produce import substitutes Inelastic demand
- C if imports from country Y have been dumped in country X favour
- D if imports of manufactured goods from country Y are price elastic favour

$\downarrow$
Cost of manufacturing goods $\uparrow$

- 24 The diagram shows aggregate supply and aggregate demand curves for an economy.



AD ↑
SRAS ↑

What would cause a movement from X to Y?

- ☒ A a decrease in income tax and in the cost of production
☐ B a decrease in interest rates and increase in the cost of production
☐ C an increase in income tax and in the cost of production
☐ D an increase in interest rates and decrease in the cost of production

- 25 The table shows changes in the population, price level and Gross Domestic Product (GDP) of a country.

	year 1	year 2	% Δ
population (millions)	50	55	10%
Consumer Price Index	100	120	20%
nominal GDP (\$ billions)	400	480	20%

What happened to real GDP and real GDP per head between year 1 and year 2?

	real GDP	real GDP per head
☒ A	no change	fell
☐ B	no change	rose
☐ C	rose	fell
☐ D	rose	rose

Real GDP = Nominal GDP - CPI (rate of inflation)

Real GDP = No change
population 10%

Real GDP ↓

- 26 The table shows selected balances from a country's balance of payments account in 2016.

	\$US billions
trade in goods	(-30)
trade in services	+10
primary income balance	+10
secondary income balance	(-8)
capital & financial flow	+15 (ignore)

$$-30 + 10 + 10 - 8 = -18$$

What was the country's current account balance in 2016?

- A -\$3 billion B -\$10 billion ☒ C -\$18 billion D -\$20 billion

- 27 What does the Marshall-Lerner condition state must be present for a depreciation of a currency to cause an improvement in the current account balance?

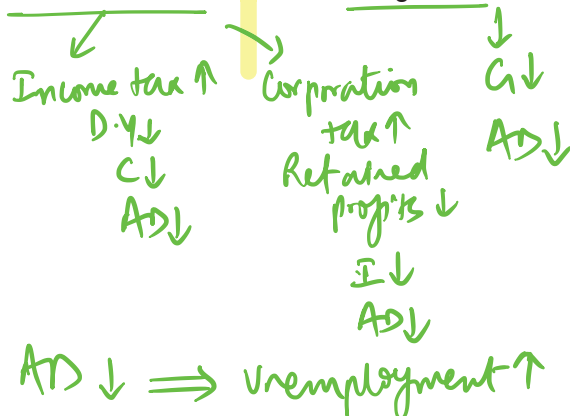
- A The price elasticity of demand for exports and the price elasticity of demand for imports are both greater than one.
- B The price elasticity of demand for exports and the price elasticity of demand for imports are both less than one.
- ☒ C The sum of the price elasticity of demand for exports and the price elasticity of demand for imports is greater than one.
- D The sum of the price elasticity of demand for exports and the price elasticity of demand for imports is less than one.

Worsen current account
Favourable in case of Appreciation / revaluation ⇒ Reverse Marshall Lerner

- 28 What is most likely to be increased by a policy of increased direct taxes and lower government spending?

- A the balance of payments deficit
- B the budget deficit *↓, deficit ↓*
- C the rate of inflation *AD ↓, P ↓, Price stable*
- ☒ D the level of unemployment *AD ↓, Unemployment ↑*

C ↓
M ↓
Deficit ↓



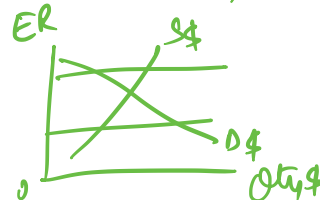
12

- 29 To encourage people to work, a government increases the minimum income level at which people start to pay income tax. *→ Supply Side*

Which types of macroeconomic policy are being followed here?

	fiscal policy	monetary policy	supply side policy
A	✓	✗	✓
B	✗	✓	✓
C	✓	✓	✓
D	✓	✓	✗

Nothing related to money supply, interest rate or exchange rate!



- 30 A country with low unemployment and a managed floating exchange rate has a persistent current account deficit on its balance of payments.

Which policy to reduce this deficit is most likely to keep unemployment low, but cause inflation?

- A depreciating its currency

- B higher direct taxation *AD↓, inflation controlled*

- C higher import tariffs *inelastic demand, unemployment↑*

- D higher interest rates *AD↓, inflation controlled*

*Depreciation
↓
X prices ↓, M prices ↑
Trade surplus
AD↑
unemployment ↓, (inflation)*

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